premodern era people were oblivious to it. Princes, priests and peasants assumed that human production was more or less stable, that one person could enrich himself only by pilfering somebody else and that their grandchildren were unlikely to enjoy a better standard of living.

This stagnation resulted to a large extent from the difficulties involved in financing new projects. Without proper funding, it wasn't easy to drain swamps, construct bridges and build ports – not to mention engineer new wheat strains, discover new energy sources or open new trade routes. Funds were scarce because there was little credit in those days; there was little credit because people had no belief in growth; and people didn't believe in growth because the economy was stagnant. Stagnation thereby perpetuated itself.

Suppose you live in a medieval town that suffers from annual outbreaks of dysentery. You resolve to find a cure. You need funding to set up a lab, buy medicinal herbs and exotic chemicals, pay assistants and travel to consult with famous doctors. You also need money to feed yourself and your family while you are busy with your research. But you don't have much money. You can approach the local lumberjack, blacksmith and baker and ask them to fulfil all your needs for a few years, promising that when you finally discover the cure and become rich, you will pay your debts.

Unfortunately, the lumberjack, blacksmith and baker are unlikely to agree. They need to feed their families today, and they have no faith in miracle medicines. They weren't born yesterday, and in all their years they have never heard of anyone finding a new medicine for some dreaded disease. If you want provisions – you must pay cash. But how can you have enough money when you haven't discovered the medicine yet, and all your time is taken up with research? Reluctantly, you go back to tilling your field, dysentery keeps tormenting the townsfolk, nobody tries to develop new remedies, and not a single gold coin changes hands. That's how the economy froze, and science stood still.

The cycle was eventually broken in the modern age thanks to people's growing trust in the future, and the resulting miracle of credit. Credit is the economic manifestation of trust. Today, if I